

Are Discounts Beneficial to Eniac ?

Premium Insight Squad
Malynn, Shannon, Paul, Henning

Are the discounts driving growth or quietly eroding profitability?

Volume vs Value

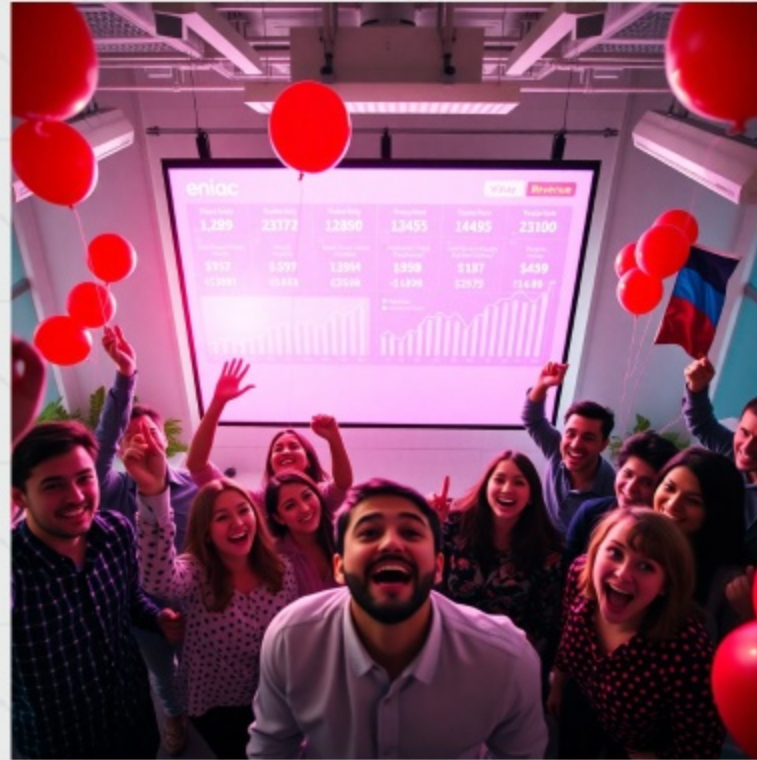
Volume vs Value

eniac						
	New Users	Active Users	New Projects	Completed Projects	Total Projects	Revenue
2018	1,285	23,772	12,880	13,455	14,485	23,100
2019	1,352	24,291	13,004	13,508	14,517	24,239
2020	12,980	10,453	23,048	9,109	23,079	14,489

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Volume vs Value

"We're winning the market,"
- Marketing team



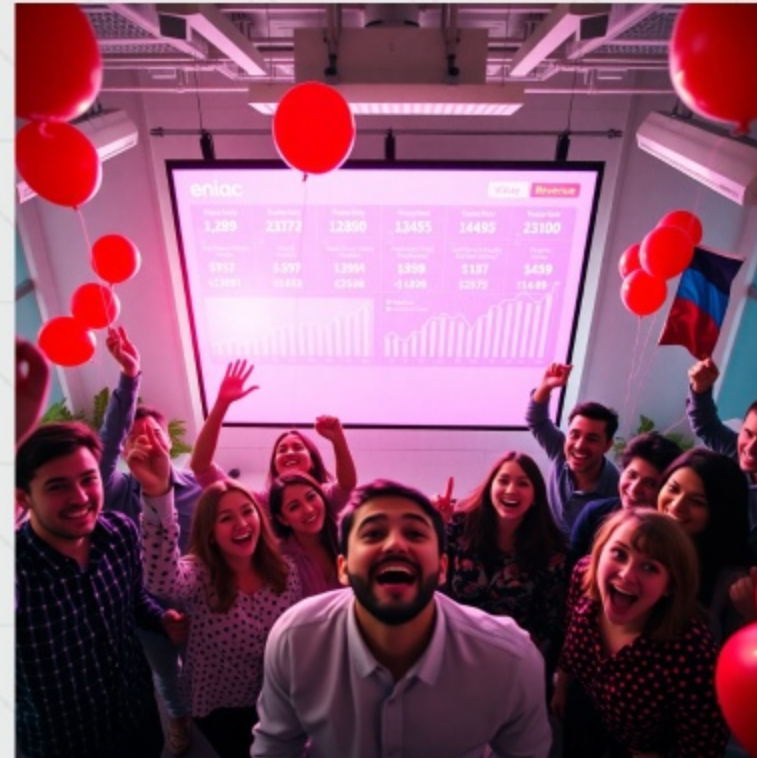
"We are not growing?"
- Board members



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Kofis' Basket of coins



Similar to Kofis, Eniac had:

- more customers via discount
- but less value

Revenue cannibalization from high discounts

January 2017 - March 2018 | completed orders

40,985

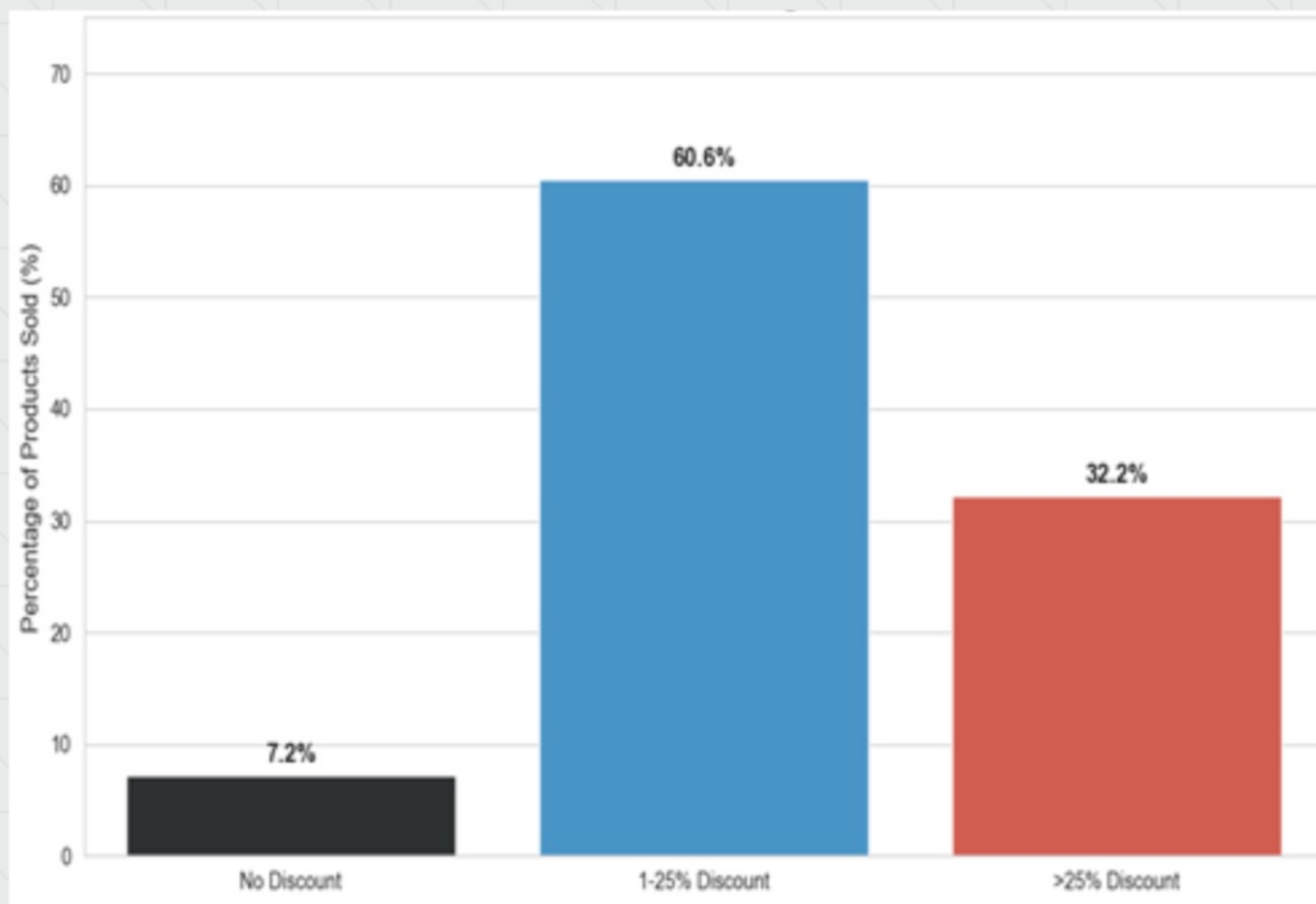
Total completed orders

~€7.82M

Total revenue

92.8%

Discount dependency



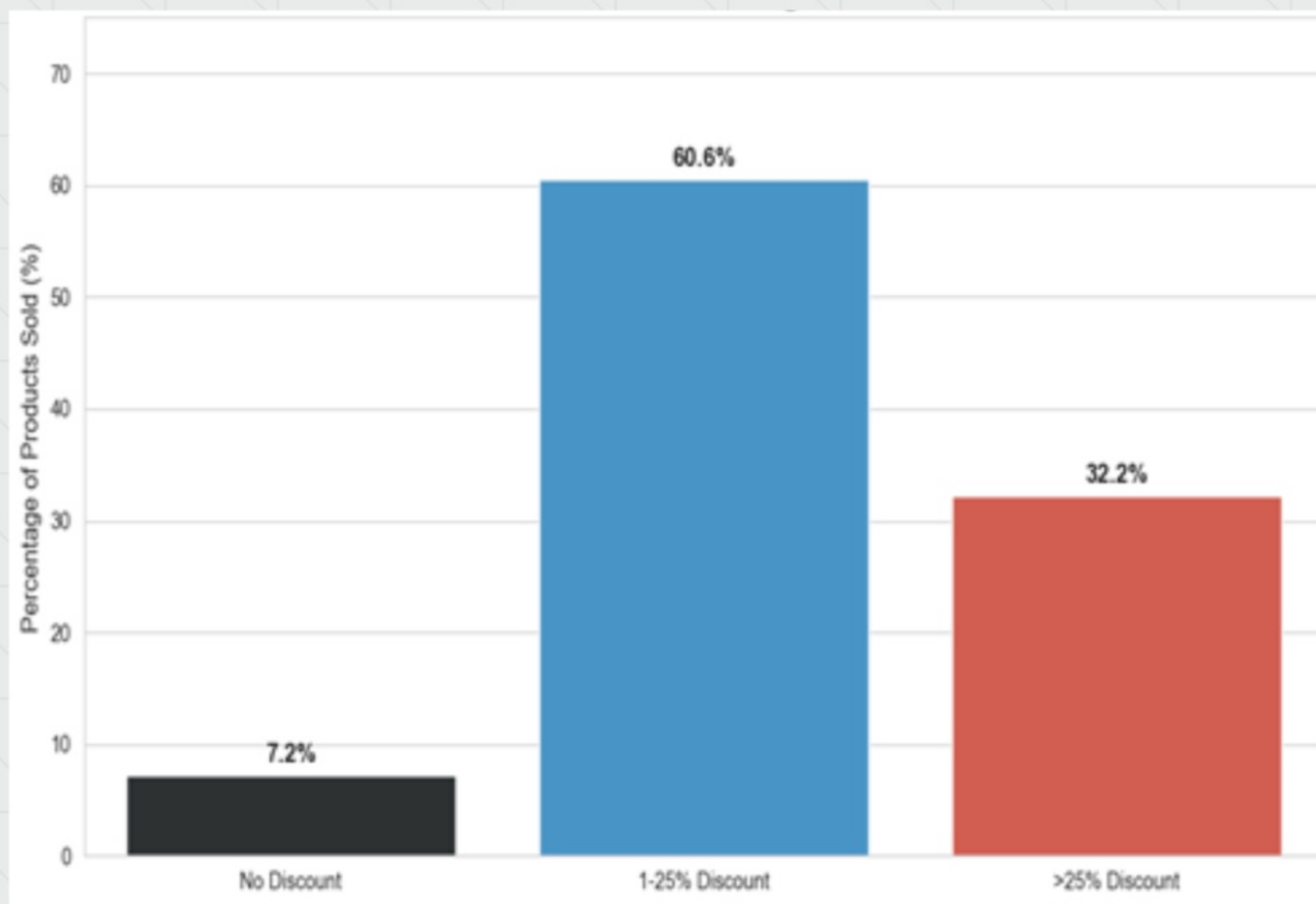
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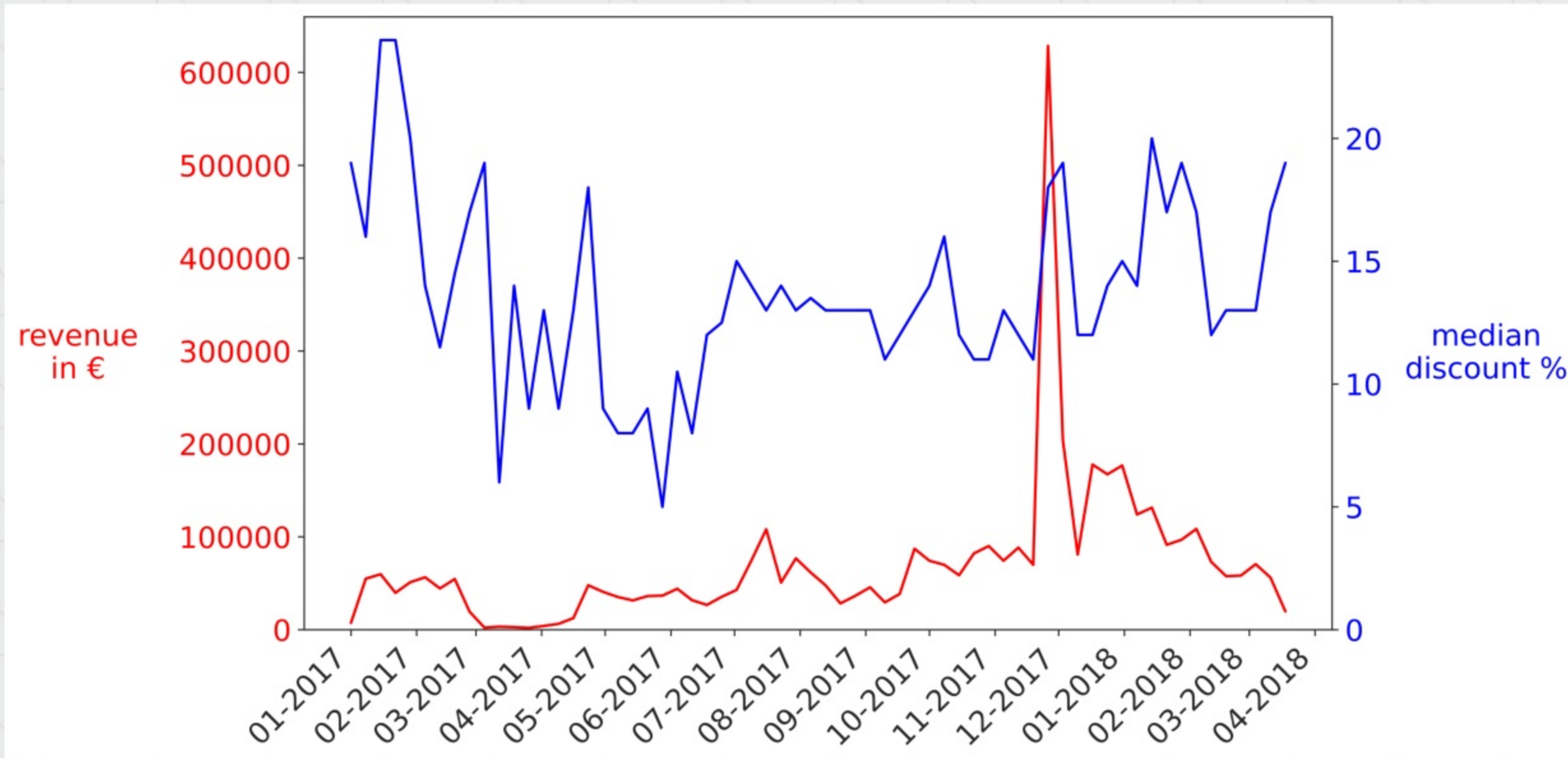


Takeaway:

- 1/3 of our products rely on heavy discounts
- Erosion of our Quality Segment positioning

Seasonality seems to drive revenue, not discounts

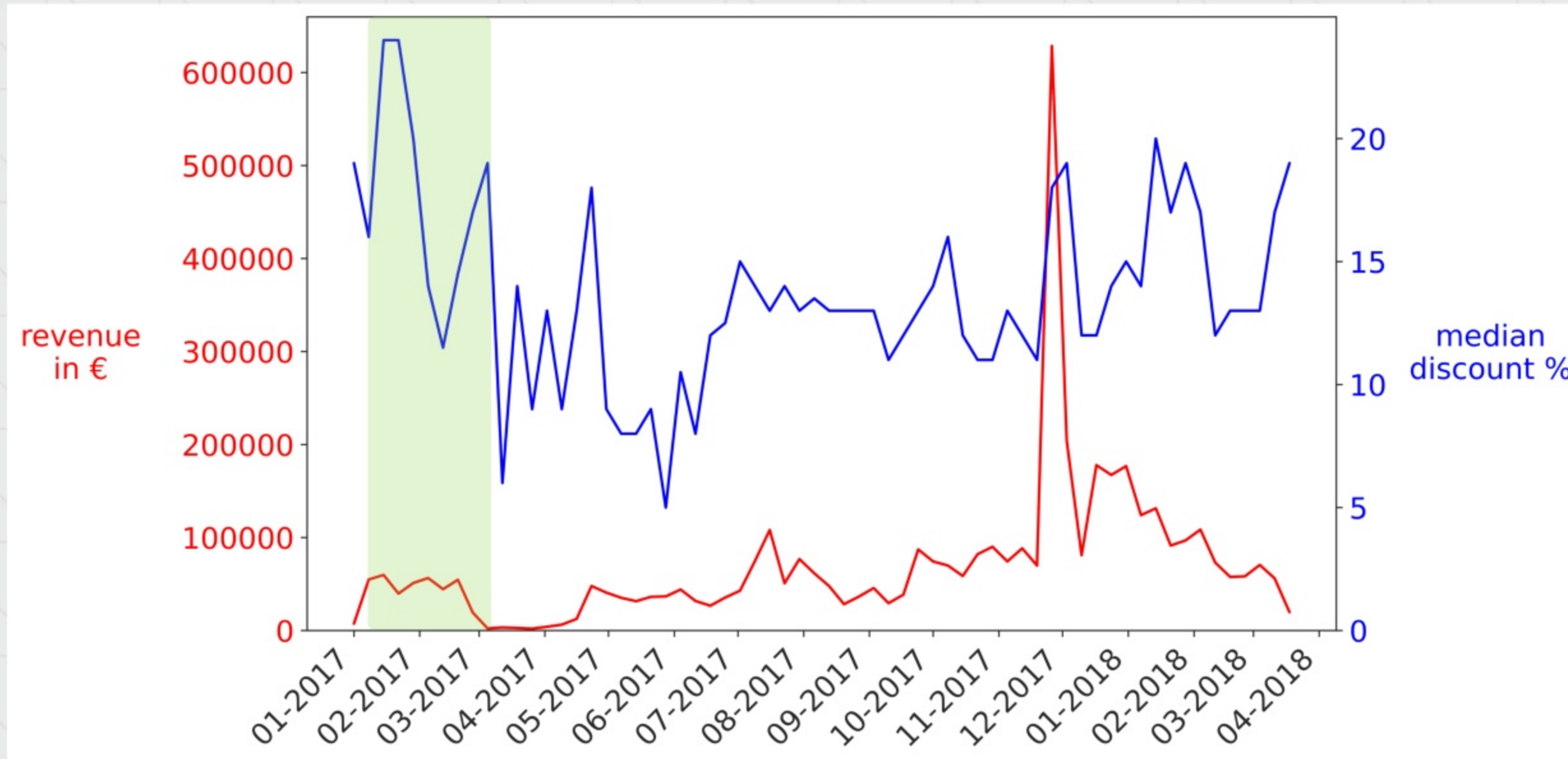
Weekly revenue / average discount % of top 250 products



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high discounts
low revenue

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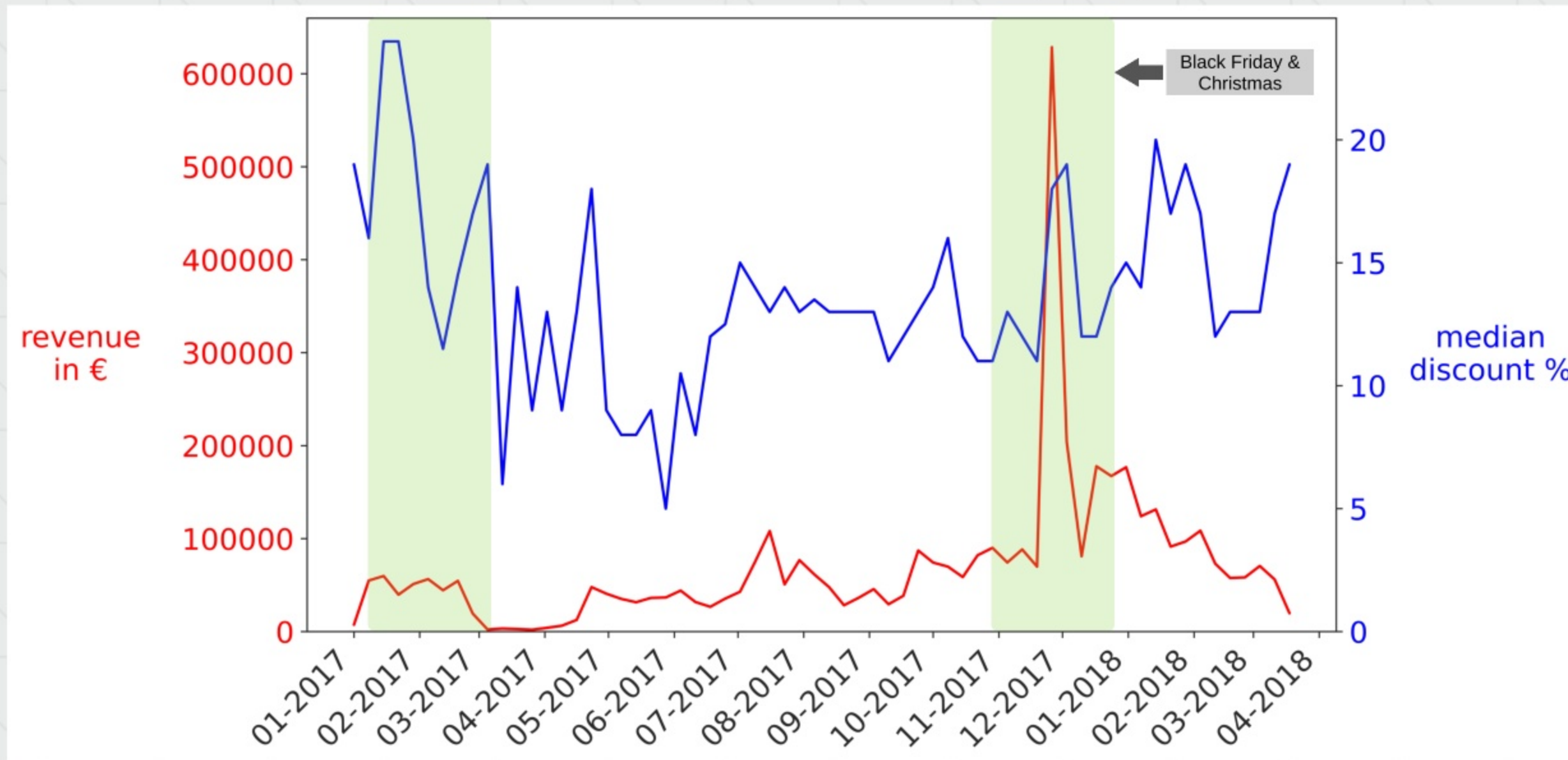


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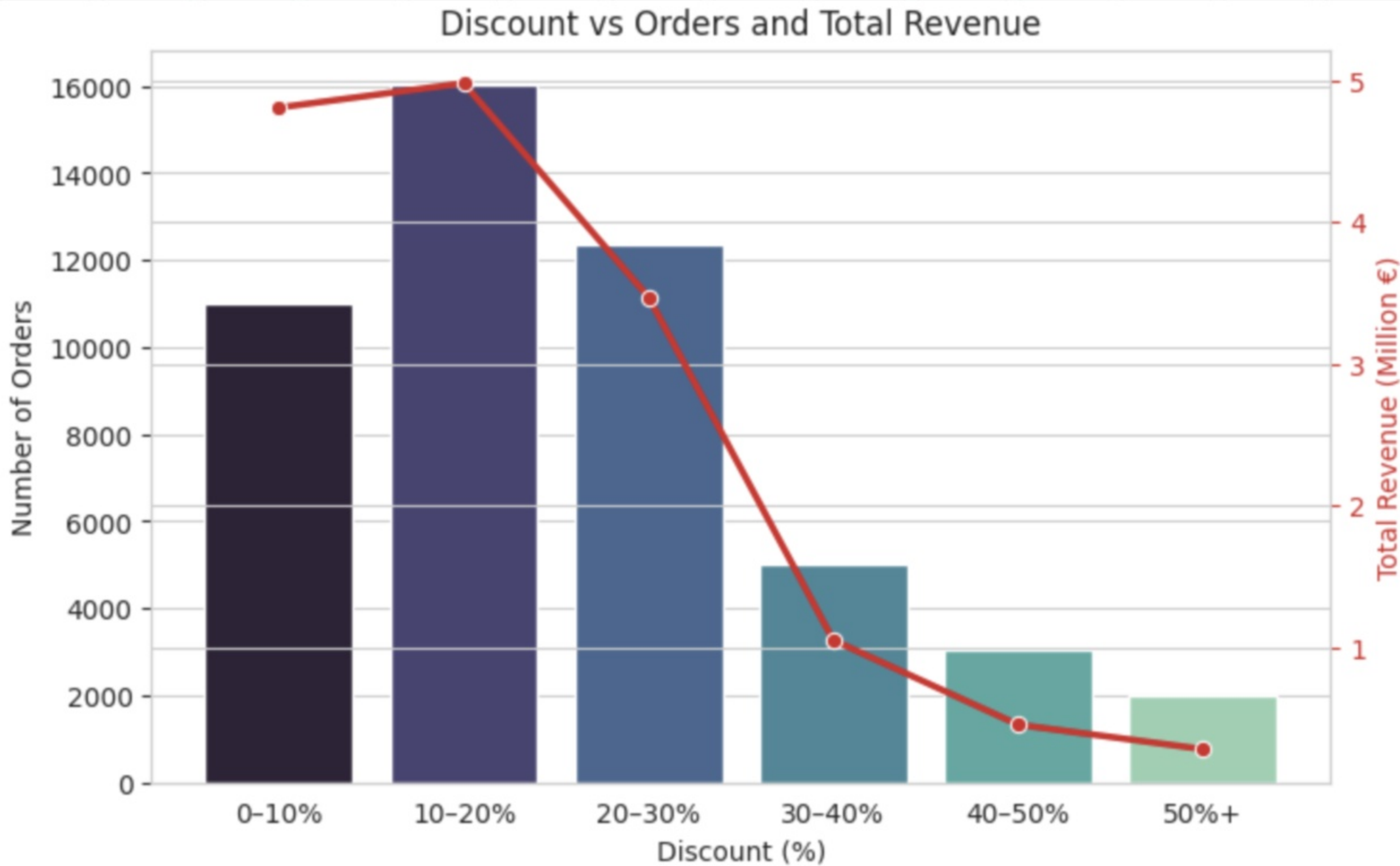
high discounts
low revenue

medium discounts
high revenue

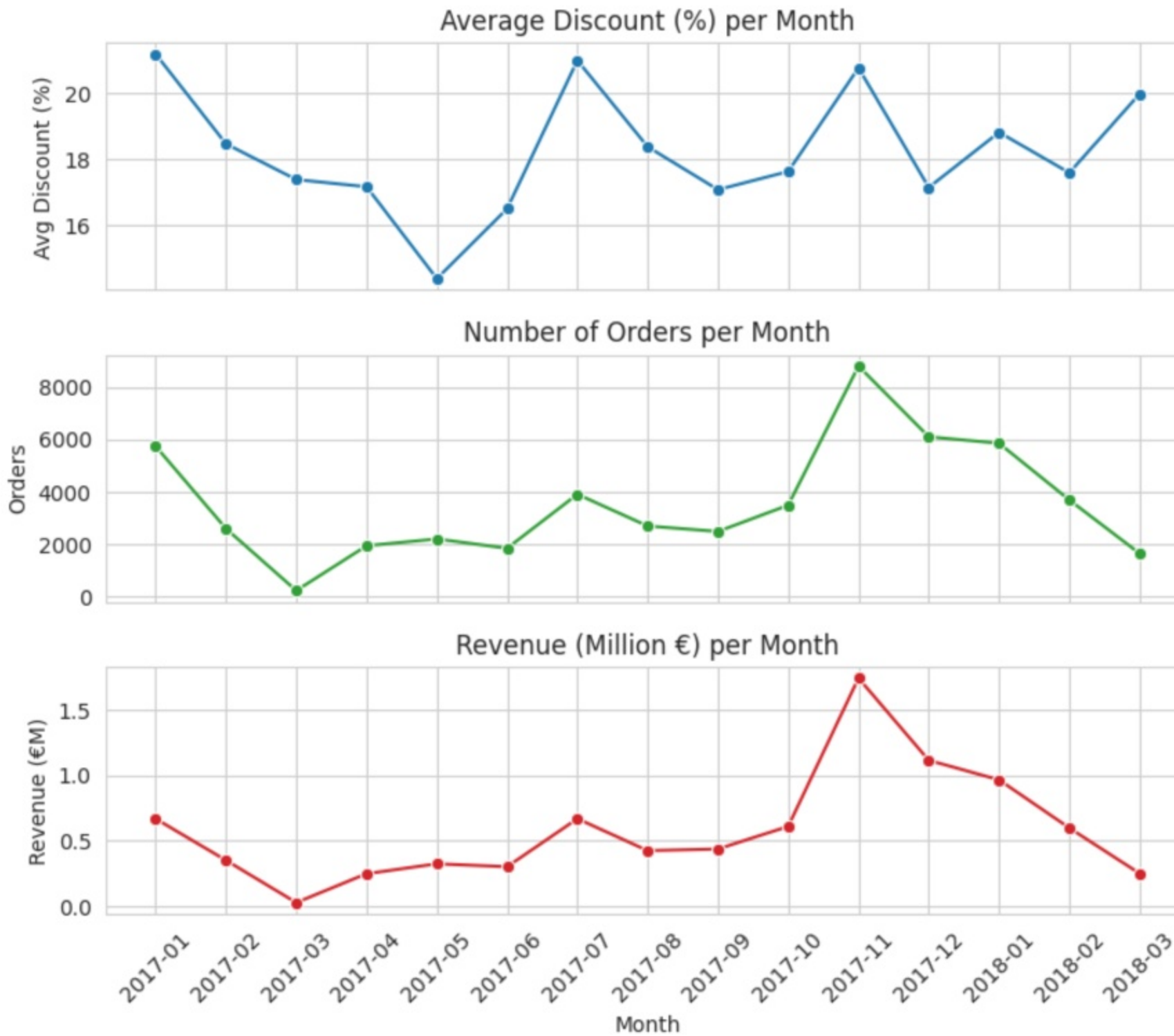
Weekly revenue / average discount % of top 250 products



Higher discounts do not increase Demand nor Revenue



Discounts do not consistently drive revenue



Observation:

- Higher discounts sometimes increase orders
- Revenue does not consistently follow
- Strong peaks driven by specific periods (e.g. Nov)
- Discounts show inconsistent impact

Takeaway:

- Discounts are not a reliable growth driver

Seasonality Over Discounts: A Strategy for Sustainable Revenue

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WHAT DRIVES THE SALE: TAG OR PRICE?

OPTION A

*Focus: Brand
Equity & Profit*

Buyers pay full price



OPTION B

Focus: Conversion

Capture emails
and offer discount.



5% DISCOUNT FOR
NEW CUSTOMERS

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Value missing: COGS/CAC to protect Net Contribution

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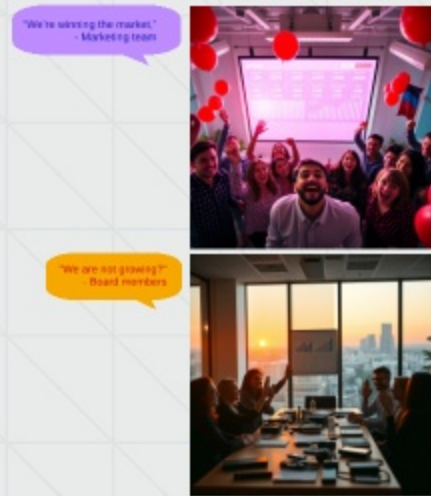
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Eniac's discount dilemma

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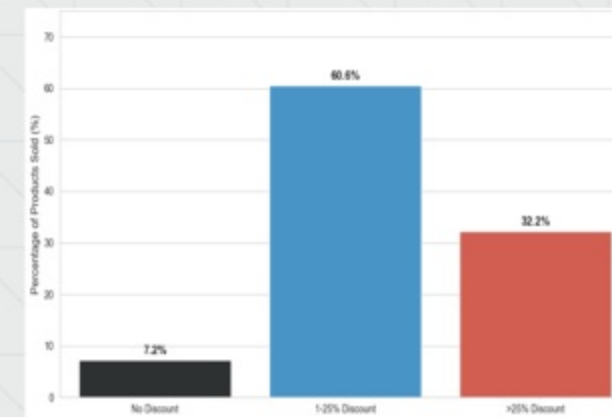
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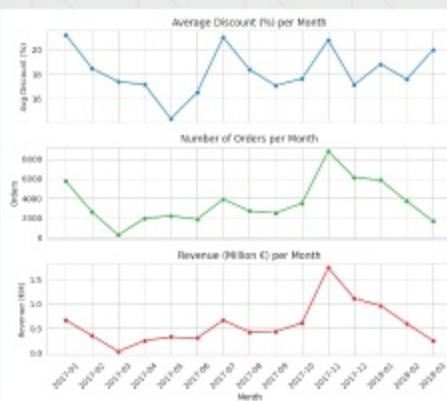
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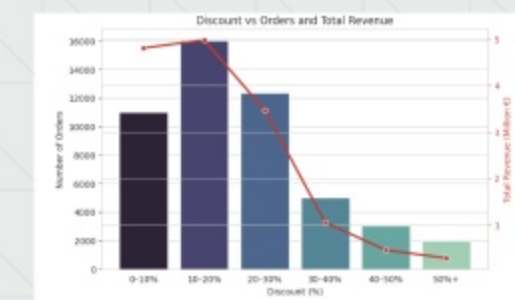
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